



FIFTH GENERATION
ADVISERS

Company Review

Resource valuation, risk and investment thesis

COMPANY

NexGen Energy Ltd. (NYSE: NXE | TSX: NXE | ASX: NXG)

ANALYSIS DATE

October 9, 2026

METHOD

Don Durrett 10-factor method and sum-of-the-parts (USD)

PREPARED BY

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Read the Conflicts of Interest and Important Disclosures sections before relying on this report.

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Executive Summary

NexGen is a Tier 1 (Canada) uranium developer building Rook I, a high-grade underground mine and mill in Saskatchewan's Athabasca Basin. It received its construction licence on Mar 5, 2026 and began a four-year build with a groundbreaking on Aug 13, 2026, pointing to first production around 2030 [5][9]. The Durrett 10-factor score is 6.6 / 10. Our sum of the parts (1.3x AISC, stage factors, 5% discount rate, fully diluted shares) gives \$11.17, \$13.88 and \$22.90 per share at U3O8 of \$85, \$100 and \$150, against a price near \$8.99 [3]. The \$100 case is close to the simple average analyst target of about \$14.50 [8].

Main drags: a single-asset company; pre-production capex of C\$2.2B, well above the 2021 feasibility estimate [2]; liquidity plus held uranium of about US\$0.96B against about US\$1.56B of capex, with project debt not yet closed [1][2]; a 733.9M fully diluted share count [4]; and a price about 35% below its January high [3]. Recommendation: Hold / accumulate on weakness. Data Quality Score 6.60 / 10.

\$8.99	~\$6.1B	6.6 / 10	+54%
PRICE (USD)	MARKET CAP	DURRETT SCORE	SOTP VS. PRICE (BASE)

Recommendation: Hold / accumulate on weakness. Risk-reward is favorable at \$100 uranium, but remaining capex is not fully funded and the build runs about four years.

Market cap = \$8.99 x 676.9M shares outstanding [3][4]; fully diluted 733.9M. Canadian-dollar figures converted at about 0.71 USD/CAD (assumption).

Project List

PROJECT	LOCATION	OW NER SHI P	STATUS
Rook I (Arrow deposit)	Saskatchewan, Canada	100 %	Construction licence Mar 5, 2026; groundbreaking Aug 13, 2026; four-year build [5][9]
IsoEnergy stake (about 28%)	Canada / US / Australia	abo ut 28%	Equity holding; not valued [10]
Other Athabasca exploration	Saskatchewan, Canada	100 %	Exploration; not valued

Table 1. The construction licence does not authorize operation; a separate operating decision is needed [5].

Project Locations

Map omitted in markdown. Rook I sits in the southwestern Athabasca Basin; positions approximate.

Reserves, Resources and Plausible Value

PROJECT	P&P	M&I total	M&I ex-reserves	INFERRED	PLAUSIBLE	ATTRIBUTABLE
Rook I (100%)	239.6	256.7	17.1	80.7	251.0	251.0
Total attributable						251.0

Table 2. Units: Mlb U3O8. Probable reserves 239.6 [6]; Measured 209.6 + Indicated 47.1 = 256.7; Inferred 80.7 [2]. M&I ex-reserves is approximate (prov.).

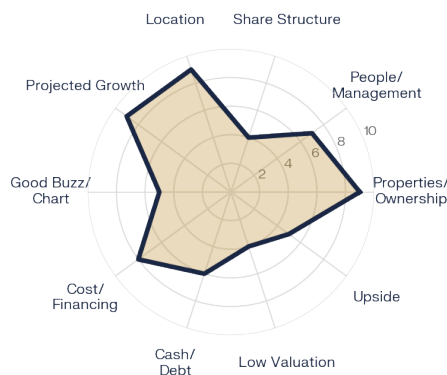
Plausible = P&P x 0.9 + (M&I minus reserves) x 0.65 + Inferred x 0.3 = 239.6x0.9 + 17.1x0.65 + 80.7x0.3 = 215.6 + 11.1 + 24.2 = 251.0 Mlb.

10-Factor Analysis

FACTOR	SCORE	RATING	RATIONALE
Properties / Ownership	9	Excellent	100% of one of the highest-grade undeveloped uranium assets; single-asset risk [2][9]
People / Management	7	Good	Licence and construction start delivered in 2026 [5][9]; insider ownership not verified
Share Structure	4	Weak	733.9M fully diluted [4][7]; 2024 debentures outstanding
Location	9	Excellent	Canada, Tier 1; construction licence in hand [5]
Projected Growth	9	Excellent	From no production to up to 30 Mlb/yr capacity [2][9]
Good Buzz / Chart	5	Fair	\$8.99 vs Jan 28, 2026 close of \$13.92 [3]; analysts mostly Buy [8]
Cost / Financing	8	Strong	AISC about \$12.31/lb vs \$85-\$150 [2]; capex not fully funded [1][2]
Cash / Debt	6	Fair	C\$970M (about US\$690M) cash and investments [1] vs US\$250M 2024 debentures [7]
Low Valuation Estimate	4	Weak	EV about \$5.5B, about \$22 per plausible lb
Upside Potential	5	Fair	SOTP at \$150 is 2.5x price; timing factor for a 2030 start
Total	66 / 10 =		6.6

Table 3. Equal-weighted, scored 1-10 under the Durrett 2.2 rubric. Share Structure, Cash/Debt, Buzz and Valuation are judgment calls.

Radar Chart



Valuation: Sum of the Parts

Margin per lb = U3O8 price minus 1.3x AISC. Plausible pounds are spread evenly over an 11-year mine life, discounted at 5% (mid-year) and multiplied by the Durrett 2.2 stage factor (Development & Construction). Remaining capex is deducted at present value.

PROJECT	ATTRIB. Mlb	START (yrs)	LIFE (yrs)	AISC \$/lb	PADDED AISC	STAGE
Rook I	251.0	3.7	11	12.31	16.00	0.80

Table 4. AISC = opex US\$9.98/lb + sustaining capex C\$785M (includes closure) / 239.6 Mlb x 0.71 = US\$2.33 [2]. Start of 3.7 years assumes a four-year build from Aug 2026 [9].

USD MILLIONS	\$85	\$100	\$150
Rook I NAV (stage-weighted)	8,949	10,895	17,379
Less: remaining capex (PV)	(1,419)	(1,419)	(1,419)
Less: 2024 convertible debentures (face)	(250)	(250)	(250)
Plus: cash and short-term investments	690	690	690
Plus: held uranium (2.70 Mlb, prov.)	230	270	405
Equity value	8,200	10,186	16,806
Per share (733.9M diluted)	\$11.17	\$13.88	\$22.90
vs. current price (\$8.99)	+24%	+54%	+155%

Table 5. Capex C\$2.2B (US\$1.56B) over 4 years, no credit for spend to date [2]. Cash C\$756.2M plus short-term investments C\$214.1M [1]. 2024 debentures (conv. US\$10.73) deducted at face [7]; the 2023 series (conv. US\$6.76) treated as converted into about 10.4M shares (prov.). Held uranium 2.70 Mlb bought May 2024 [11]; current holding not re-verified. IsoEnergy stake not valued.

Sensitivities

Illustrative scenarios; not a forecast or price target.

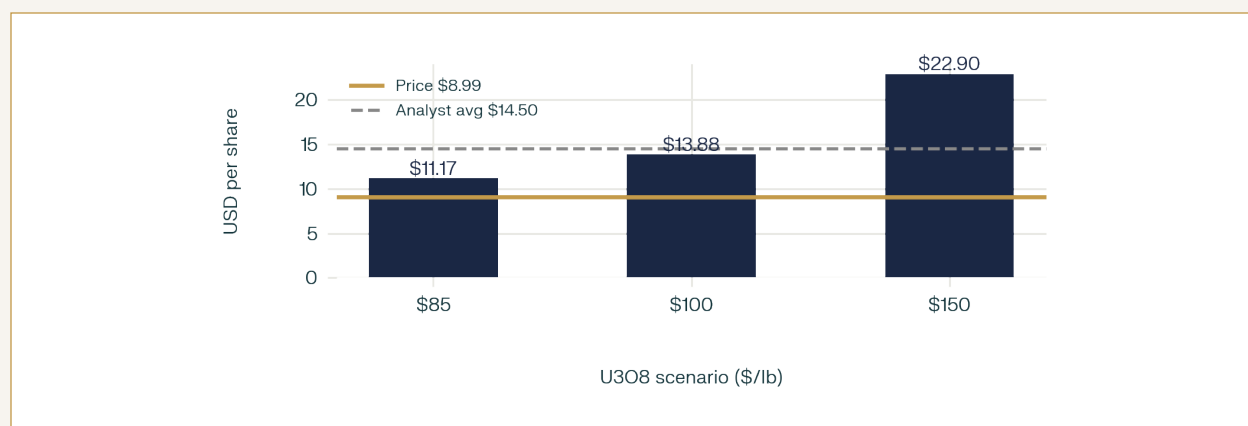
CASE (\$100 URANIUM)	PER SHARE	VS. BASE	RATIONALE
Base case	\$13.88	n/a	Table 5 at \$100
Rook I NAV 15% lower	\$11.65	-16 %	Grade, recovery or cost shortfall; analyst assumption
Capex 25% higher (C\$2.75B)	\$13.39	-3%	Overrun risk; analyst assumption
First production one year later	\$13.17	-5%	Schedule slip (NAV only; capex timing unchanged); analyst assumption
\$500M equity raise at \$8.99 (55.6M shares)	\$13.53	-2%	Funding gap illustration; analyst assumption

Table 6. All cases are analyst assumptions, not company figures.

Analyst Cross-Check

SOURCE	RATING	TARGET (USD)
Zacks consensus (Aug 20, 2026)	n/a	Mean \$15.40
Financhill (16 analysts, Oct 6, 2026)	Buy	Avg \$16.32
Simply Wall St (Oct 7, 2026)	n/a	Avg C\$19.47 (about \$13.82)
J.P. Morgan (Oct 2, 2026)	Buy	A\$18.00 (about \$12.53)

Table 7. Aggregator data are secondary; simple average of the four is about \$14.50.



Input Assumptions Disclosure

INPUT	VALUE	BASIS
U3O8 price	\$85 / \$100 / \$150, flat	Client scenarios; not a forecast
Discount rate / cost pad	5% / 1.3x	Client instruction
Durrett constants	0.9 / 0.65 / 0.30	Project override
Capex	C\$2.2B (US\$1.56B)	Company update, Aug 2024 [2]; timing assumed 4 yrs
FX	0.71 USD/CAD	Assumption near Jun 30, 2026 rate
Start date	3.7 yrs	Four-year build from Aug 2026 [9]; assumption
Cash / debt	\$690M / \$250M face	[1][7]
Shares	733.9M diluted	676.9M basic + 46.7M options + 10.4M 2023-debenture shares [4][7] (prov.)

Table 8. 2023 debentures (9%, due Sep 22, 2028) and 2024 debentures (9%, due May 28, 2029) per [7].

Capital Raise Outlook (18 months)

Probability of a meaningful equity raise (about \$100M or more): about 35%; forced raise: about 10%. Cash and investments of about US\$690M plus held uranium of about US\$270M at \$100 total roughly US\$0.96B, against C\$2.2B (US\$1.56B) of capex [1][2]. No project debt has closed [2]. A \$500M raise at \$8.99 adds about 55.6M shares (7.6%).

This section is analyst judgment, not a sourced forecast.

Capital Raise History

DATE	EVENT	SIZE (USD)	ISSUE PRICE (USD)	NEW SHARES (M)	DILUTION %	SOURCE
Oct 15-16, 2025	Global equity offering: 33.1M shares at C\$12.08 plus 45.8M CDIs at A\$13.10	\$675M	8.55 avg	78.9	not found	[12]
May 28, 2024	Convertible debentures (potential shares on conversion)	\$250M	10.73 conv.	23.3	not found (potential)	[7][11]
Aug 31, 2023	Convertible debentures (potential shares on conversion)	\$110M	6.76 conv.	16.3	not found (potential)	[7]
Total	Last 3 years, equity only	\$675M	8.55 wtd avg	78.9	not found cumulative	

Table 9. Dilution % = new shares / shares before the event; shares before each event were not retrieved. Convertibles show potential shares and are excluded from the total. Oct 2025 USD size converts C\$950M at 0.71.

Red Flags and Investor Concerns

Red Flag: Construction and capex. Pre-production capex is C\$2.2B, up from about C\$1.3B in the 2021 feasibility study (prov.), with a four-year build [2][9].

Red Flag: Funding gap. Cash plus held uranium covers roughly 60% of the full capex budget; no project debt has closed [1][2].

Red Flag: Single asset and licensing. All value sits in Rook I; the construction licence does not authorize operation [5].

Red Flag: Share Structure (4), Low Valuation (4), Good Buzz (5), Upside (5). 733.9M diluted shares, about \$22 EV per plausible lb, a price about 35% below the January close high, SOTP at \$150 of 2.5x the price [3][4].

Observations and Next Steps

Watch the Q3 2026 report (date to be confirmed) for capex spend, project-debt closing and any equity raise. Verify held uranium, option strikes, how much of the 2023 series remains, the reserve basis, mine life and the 2021 feasibility figures. No NXE record was found in the readable part of the project RAG JSON.

Data Quality Audit

Data Quality Score 6.60 / 10 (accuracy 6.5, source reliability 6.5, internal consistency 7.0; weighted 0.5 / 0.3 / 0.2). Verified: capex and opex [2]; CNSC licence [5]; equity offering [12]; cash and short-term investments [1]; debenture terms [7]; basic share count [4]. Provisional: reserves and mine life [6][9]; 2023 debenture balance; options count; held uranium; FX; start date; IsoEnergy stake; analyst data [8]. Internal self-assessment, not an independent audit.

Sources and Footnotes

#	SOURCE
[1]	NexGen Q2 2026 financial statements (Aug 5, 2026) and earnings call: cash C\$756.2M, short-term investments C\$214.1M, liquidity over C\$970M.
[2]	NexGen, Updated Economics for Rook I (Aug 1, 2024), sec.gov ex99.1; company site resources.
[3]	Market data Oct 6-8, 2026: Yahoo Finance, MarketBeat, Macrotrends.
[4]	NexGen investor centre: 676,884,770 shares.
[5]	CNSC licence decision (Mar 5, 2026).
[6]	Canadian Mining Report (Jul 26, 2026): probable reserves 239.6 Mlb (secondary).
[7]	NexGen interim statements and MD&A: debenture terms; US\$250M of 2024 debentures outstanding at Aug 4, 2026.
[8]	Zacks, Financhill, Simply Wall St, J.P. Morgan (Aug-Oct 2026).
[9]	Rook I fact sheet (2026): four-year construction from Aug 13, 2026 (secondary).

#	SOURCE
[10]	IsoEnergy release (Jan 27, 2026); NexGen corporate deck (Sep 2026).
[11]	NexGen release (May 28, 2024): 2.7 Mlb uranium purchase.
[12]	NexGen release (Oct 16, 2025): A\$1B (C\$950M) offering.

All sources accessed Oct 9, 2026.

Conflicts of Interest, Holdings and Compensation

ITEM	DISCLOSURE
Compensation for this analysis	Fifth Generation Advisers receives no compensation of any kind, to or from NexGen Energy Ltd., its officers, directors, affiliates, underwriters or financing agents, or any other third party, in connection with this analysis.
Independence of the analysis	Prepared from public information, without review or input from NexGen Energy Ltd.. No analysis is free of bias; model assumptions, scores and judgment calls are ours and are identified.
Positions	As of Oct 9, 2026, positions of the firm, principals, employees and advisory clients in NexGen Energy Ltd. are not material: fewer than 100,000 shares in total across all of them.
Other relationships	No investment-banking, advisory, consulting, finder or other relationship with NexGen Energy Ltd. exists, and none existed in the past 12 months.
General and impersonal	General and impersonal; not tailored to any recipient and not personalized advice.
Third-party method	The 10-factor framework follows Don Durrett's published method; Fifth Generation Advisers is not affiliated with, endorsed by or compensated by Mr. Durrett.

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Scenarios are not forecasts. Per-share values, upside percentages, sensitivities and capital-raise probabilities are hypothetical outputs of the stated assumptions, not price targets. Metal prices are held flat; the discount rate and cost pad are analyst choices.

Mineral resource figures. Reserves and resources are estimates; inferred resources are speculative. "Plausible" pounds are our own weighting ($P\&P \times 0.9 + (M\&I \text{ minus reserves}) \times 0.65 + \text{Inferred} \times 0.3$) and are not a category recognized under SEC S-K 1300 or NI 43-101.

Principal risks. Commodity price; financing and dilution; permitting, regulatory and political; operating and execution; liquidity and volatility; cross-listing and currency; estimation risk. Loss of all principal is possible. Past performance does not guarantee future results.

Report status and key limitations.

- **General and impersonal.** Not tailored to any person and not personalized advice.
- **Rating.** Hold / accumulate on weakness is the firm's general opinion over the next 12 months as of the analysis date; not a recommendation to buy, hold or sell.
- **Scenarios, not forecasts.** Values are illustrative outputs at flat metal prices of \$85, \$100 and \$150; not price targets.

- **Model limits.** Remaining capex is deducted at present value with no credit for spend to date; the IsoEnergy stake and other exploration assets are valued at zero; start date, 11-year mine life and AISC construction are assumptions; option strikes are not netted.
- **Compensation and conflicts.** No paid compensation received; see the Conflicts section.

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